



CONFIDENTIAL

**PAYMENT GATEWAY SERVICE
AGREEMENT**

BETWEEN

LEMONADE INVESTMENTS LIMITED

AND



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1. PARTIES

This Agreement is made on the _____ day of _____ **BETWEEN**

(A) LEMONADE INVESTMENTS LIMITED (hereinafter referred to as "**Lemonade**") a limited liability company incorporated and Registered as Number **PVT-MKUM2A6** under the laws of Kenya and having its registered office on the **11th Floor, Westpark Towers, Westlands**; In the Republic of Kenya.

and;

(B) _____ (hereinafter referred to as "**Partner**") and of address _____, a company incorporated as Number _____ under the Laws of Kenya and having its Registered office on the _____ in the Republic of Kenya.

In this Agreement both the Contracting Parties are hereinafter referred to as "**Parties**" and one is referred to as a "**Party**"

WHEREAS:

1.1 **Lemonade** is a duly authorized Payments Aggregator in the Republic of Kenya and provides payment aggregation services and offer value-add services in East Africa. The services to be provided are as below.

1) **Bank and Mobile Money services**

- a) Instant bank transfers
- b) Send money to mobile
- c) Send money to bank
- d) Pay to merchant
- e) Wallet to Wallet Payments

- Any other service that will be discussed and agreed upon by both parties

1.2 **Partner** is desirous that **Lemonade** facilitates making payments and receiving payments of its customers through the **Lemonade payment gateway platform**.

1.3 **Lemonade** has Agreed to provide their Services to **Partner** and **Partner** has Agreed to purchase the said Services and Products subject to the Covenants,

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Provisions, Stipulations, Terms, and Conditions hereinafter contained in this Agreement.

- 1.4 Both **Partner** and **Lemonade** confirm that they have the requisite authority and capacity to enter into and give effect to this Agreement.

NOW THEREFORE THIS AGREEMENT WITNESSETH AS FOLLOWS:

2. DEFINITIONS

For the purpose of this Agreement the following terms shall bear the following meanings:

- 2.1 **"Agreement"** shall mean this framework agreement and includes all annexures, schedules, and appendices hereto which shall form part of it;
- 2.2 **"Business Day"** means any day other than a Saturday or Sunday on which the clearing banks are ordinarily open for business in Kenya (excluding public holidays).
- 2.3 **"Client"** means both an entity/a person connected to the **Lemonade Payment Gateway platform** (including, without limitation MTO's, MNO's, Payment Service Providers and Merchants) As well as a User of the Money Transfer Services or Payment Services of **Lemonade**.
- 2.4 **"Data"** shall mean, notwithstanding any regulatory obligations on a Party to retain any Data, all data and/or personal information relating to or arising from the use by the Recipients of the Services and which Data shall be owned by the respective party owning it.
- 2.5 **"Disclosing Party"** shall have the meaning given in clause 6.
- 2.6 **"Designated Bank Account"** shall mean a bank account held by **Lemonade** with any Commercial Bank in Kenya.
- 2.7 **"DTR"** shall mean a Daily Transaction Report in an electronic form detailing each transaction that has been Processed on the Settlement Account on a specific day.
- 2.8 **"Effective Date"** shall mean the date on this Agreement;
- 2.9 **"E-Value"** shall mean electronic value recorded in an E-Value account, such electronic E-Value representing that E-Value Account holder's entitlement to an equivalent amount of the real money in the Bank Account;
- 2.10 **"Future Services"** shall have the meaning given in clause 2.25
- 2.11 **"Force Majeure"** shall mean an event/s or circumstance/s whether natural or man-made, which is/are beyond the control of a Party which prevents or impairs the affected Party from performing its obligations pursuant to this



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Agreement either timeously or at all. For the purpose of this definition “**Force Majeure**”, shall be construed as an event or a circumstance shall be deemed to be beyond the control of a Party when that Party could not reasonably foresee, prevent, overcome or provide against it;

- 2.12 “**Intellectual Property**” shall mean all patents (including rights in or to inventions), trademarks, service marks, logos, trade names and business names (including rights in goodwill attached thereto) design rights, rights to and in internet domain names and website addresses, copyright, database rights, rights in and to confidential information, all information relating to the processes and procedures of the Services and all other intellectual property rights that are capable of registration in any country or jurisdiction and similar or analogous rights to any of these rights in any jurisdiction, whether registered or not and which belong to **Lemonade** or the **Partner** ;
- 2.13 “**Local Currency**” shall mean Kenya Shillings
- 2.14 “**Mobile Receive Transaction**” means a Consumer Receive Transaction directed for payment through **Lemonade** for which the account number or MSISDN associated with the Subscriber Account of the Recipient has been provided to **Lemonade** by the **Partner** and the remittance may be paid only by direct credit to that Subscriber Account.
- 2.15 “**Mobile Send Transaction**” means a remittance or payment transaction originated by a Subscriber by means of the Mobile Service that is made available for payment through the **Lemonade** payment gateway platform.
- 2.16 “**MNO**” means Mobile Network Operator.
- 2.17 “**MTO**” shall mean a Money Transfer Organization duly licensed in its relevant jurisdiction, vetted and contracted by **Lemonade** to utilize the MTO Aggregation Service;
- 2.18 “**Net Settlement Payment**” shall mean the difference between receipts and payments during a specific period as confirmed by both **Lemonade** and the **Partner**.
- 2.19 “**Payment Amount**” shall mean the amount in Local Currency to be debited from a Subscriber as a result of a Payment Order.
- 2.20 “**Payment Instruction**” shall mean the electronic instruction issued by the **Partner** through the **Lemonade** payment gateway Platform for the purposes of effecting a Remittance.
- 2.21 “**Principal**” or “**Send Amount**”, shall mean the principal amount which is transferred by a Sender in send Currency to be transferred to a Recipient as a result of a Payment Instruction.
- 2.22 “**Reconciliation Issue**” shall mean a specific type of issue opened by either **Lemonade** or the **Partner** on **Lemonade** support tool which is related to



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reconciliation discrepancies in a Reconciliation Report. A Reconciliation Issue shall always reference the Reconciliation Report it refers to.

- 2.23 **"Reconciliation Report"** shall mean the report generated daily by the **Lemonade** payment gateway platform by comparing for a specific date, the transaction records generated by the **Partner** and the DTR received from **Lemonade** (Match & Kill). The Reconciliation Report outlines any discrepancy found between the two sets of data if any.
- 2.24 **"Remittance"** shall mean a money transfer transaction conducted using the Lemonade Payments Service
- 2.25 **"Services"** shall mean the services provided by **Lemonade** to the **Partner** for the benefit of Senders or Recipients which are the MTO Aggregation Service and Merchant Payments Service between **Partner** and other MNOs Service all of whose terms are provided in the **Annexures**, and any other services that may be agreed to in writing by the Parties in the future (**"Future Services"**)
- 2.26 **"Service Terms"** shall mean all the Terms and Conditions of this Agreement including all of the **Annexures** of this Agreement;
- 2.27 **"Subscriber"** shall mean a person or entity that consumes the services of the **Partner** through the **Lemonade** Payment Gateway Platform.
- 2.28 **"Successful Transaction"** shall mean a money transfer transaction conducted using the Service and for which the Sender has successfully Remitted their monies to the Recipients and the Recipients have successfully received the funds or service either on his Mobile Money Account or any other delivery means available as part of the Lemonade payment gateway Platform.
- 2.29 **"Term"** shall mean the term of this Agreement which shall commence on the Effective Date and end on termination as provided in clause 8;
- 2.30 **"Territory"** shall mean each of the territories where they operate and offer the payment gateway services to the **Partner** and where the Parties have agreed to activate the Service. A list of the Territories as of the Effective Date is provided in **Annexure 1** and **Lemonade** undertakes to notify the **Partner** immediately of any changes to this list so that the Parties may at all times ensure that the list is up to date;
- 2.31 **"Transaction"** means a transaction sent by the Sender or received by a recipient, through the **Lemonade** Payment Gateway Platform. In addition to the definitions in this clause 2, unless the context requires otherwise as applies to this Agreement:
- 2.32 **"uptime"** the state in which the platform is fully accessible, all major functions are operating normally, and transactions are processed without disruption.
- a) A reference to any one gender, whether masculine, feminine, or neuter, includes the other two;



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- b) Any reference to a person, includes, without limitation, any individual, body corporate, unincorporated association, or other entity recognized under any law as having separate legal existence or personality;
- c) Any word or expression defined in and for this Agreement shall, if expressed in the singular, include the plural and vice versa and a cognate word or expression shall have a corresponding meaning;
- d) References to a statutory provision include any subordinate legislation made from time to time under that provision and any modification or re-enactment of such provision, as far as such modification or re-enactment applies, or is capable of applying, to this Agreement or any transaction entered into under that agreement;
- e) Unless otherwise specified, references in this Agreement to “clauses” and “Annexures” are to clauses of, and annexures to this Agreement;
- f) In this Agreement, unless otherwise provided, any number of days prescribed shall be determined by excluding the first and including the last day or, where the last day falls on a day that is not a Business Day, the next succeeding business day

3. DURATION

- 3.1 The **Term** of this Agreement shall be **Twelve (12) Months** beginning on the Effective Date renewable under new Terms and Conditions. {see Clause 8.1}
- 3.2 Either Party will have the right to terminate the Agreement by giving the other Party thirty (30) calendar days' prior written notice of its intention to terminate.

4. OBLIGATIONS OF THE PARTIES

Each Party shall be responsible for all the costs associated with its obligation(s).

4.1 SETUP OF THE SERVICES

- 4.1.1 **Lemonade** shall create, set up, and operate the Services in each Territory and as required shall have the authority to negotiate and enter into agreements

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with relevant third parties to operate the Services in compliance with applicable laws and regulations.

4.1.2 The **Partner** will, at its discretion, engage third-party service providers whose services can be integrated into the **Lemonade** payment gateway platform for consumption by either the **Partner** or by **Lemonade clients** on terms that will be agreed upon by both parties at the time.

4.1.3 **Lemonade** shall integrate its platform with the **Partner** Platform to enable the provision of the required Services.

4.1.4 **Lemonade** will grant the **Partner** all reasonably necessary information and access to the Platform for the purposes of enabling and operating the Services, to the extent permissible under applicable laws, and subject thereto.

4.1.5 RESPONSIBILITIES:

4.1.5.1 The **Partner** shall set up, at its own cost, a dedicated VPN channel between the Lemonade payment gateway platform and the **Partner** platform.

4.1.5.2 The **Partner** shall provide at their own premises such hardware and software as may be required in connection with the Service and attend to installation, integration, configuration and testing of each Service jointly.

4.1.5.3 **Lemonade** shall provide all the technical and engineering resources to operate, manage and repair their respective components that provide the Services and ensure that its technical representatives work with the others' technical representatives to ensure that its platform integrates effectively with the **Partner** Platform;

4.1.5.4 **Lemonade** shall obtain and maintain at its own cost such software licenses as are required to enable it to perform its obligations as envisaged under this Agreement, and to grant a non-transferable, royalty-free, non-exclusive license including the right to sublicense to the end users, as may be required;

4.1.5.5 **Lemonade** shall ensure that any system malfunctions are rectified under the Service Level Standards stipulated in this agreement.

4.1.5.6 **Lemonade** shall obtain and maintain such licenses, approvals, and authorization as may be required from the relevant authorities in each Territory and in its own country of incorporation to provide the Services.

4.2 **SUPPORT**

4.2.1 **Lemonade** shall provide customer support directly to **Partner** in accordance with the terms stipulated in the Annual Licensing agreement signed by both parties

4.2.2 **Lemonade** shall provide back office-to-back office support to the **Partner**.

4.3 **COMMERCIAL TERMS**

4.4 The Parties hereby agree to the commercial terms as set out in **Annexure Three** for each Service.

4.5 Future Services, for which commercial Terms have not been agreed to, shall be negotiated and agreed to in writing prior to the operation of such Services, and such terms will be captured and added to this Agreement as an Annexure and such concluded provisions shall be committed in writing and signed by all the Parties prior to their implementation.

5. **COMPLIANCE, WARRANTIES, TAXES AND FRAUD**

5.1 Each Party hereby confirms to the other Party that each Party shall ensure that this Agreement and its respective implementation complies with applicable local laws, taxes, and regulatory requirements in the Territory

5.2 **Lemonade** shall obtain any required clearance or approval from the relevant regulatory authorities to launch the Services in the, and for the duration of the Agreement shall ensure that the Agreement remains in compliance with applicable Republic of Kenya laws as required for the provision of the Services.

5.3 **Lemonade** and **Partner** warrant to each other that as of the Effective Date and for the duration of this Agreement:

5.3.1 Each Party is a company duly incorporated and registered under the laws in their country of incorporation;



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- 5.3.2 Each Party has full powers and the authority required to enter into this Agreement and to perform its obligations thereunder;
- 5.3.3 Each Party is and will remain authorized to enter into and perform this Agreement and acts in compliance with applicable laws in the Territories.
- 5.3.4 Each party confirms to the other Party that it archives in retrievable form and it shall continue to do so for the records of the transactions processed through its respective system under this Agreement for at least ten (10) years, and can be provided to the other Party for compliance requests or reporting duties;
- 5.3.5 Each party confirms to the other Party that it maintains and will continue to maintain an effective compliance program that reasonably addresses the risk of abuse of remittances for money laundering and terrorist financing as per the usual high standards for the industry;
- 5.3.6 Each party confirms to the other Party that it monitors and will continue to monitor its agents, officers, employees and all other persons it uses for the processing of Remittances as reasonably required to prevent fraud, money laundering or terrorist funding through its remittance operations; and
- 5.3.7 Each party undertakes that it will not use the Services or this Agreement or any Proprietary Information belonging to the other for any illegal purpose and will use best efforts to prevent its clients, staff, directors, and other persons it has granted access to the Service from using the Services for any illegal purpose.
- 5.4 **Lemonade** warrants to the **Partner** that:
- 5.4.1 **Lemonade** is and will remain fully committed to the provisions of this Agreement and perform in compliance with applicable laws of the Republic of Kenya;
- 5.4.2 **Lemonade** shall remain fully licensed and in compliance with applicable laws as required for the provision of its services to its Recipients in the Territories.
- 5.5 **Lemonade** warrants to the **Partner** that it shall undertake due diligence on the **Partner** before connection to the **Lemonade** Platform.



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- 5.6 Each Party shall be responsible for all expenses and costs accruing out of their involvement in this Agreement. Any fees and or reimbursements shall be paid free and clear of any restriction, deduction, or set-off.
- 5.7 Each Party (each the 'Indemnifying Party') shall indemnify and hold harmless the other Party (each the 'Indemnified Party') from and against all and any costs, claims, proceedings, liabilities, expenses, damages or losses associated with any third party claims, demands, suits, proceedings or judgments, relating to or arising directly from the actions, inactions or negligence of the Indemnifying Party or its agents or subcontractors concerning this Agreement and to the extent the Indemnifying Party is liable to the third party or injured person under applicable law.
- 5.8 The Parties shall cooperate in good faith as reasonably necessary to investigate possible or alleged instances of fraud, money laundering or any other illegal use or abuse of the Services and will use its best efforts to stop and prevent any such abuse.
- 5.9 **Lemonade** and the **Partner** each specifically undertake, represents and warrant to each other that: -
- 5.9.1 It shall not cause infringement or violation of any intellectual property rights or other rights including copyright, the right to privacy.
- 5.9.2 It shall Comply with all applicable laws, ordinances, rules, regulations, and guidelines in effect provided/issued by the governments or relevant authorities.

6. CONFIDENTIAL INFORMATION

- 6.1 The Confidential Information shall at all times and until otherwise agreed by the Parties remain the sole property of that Party disclosing it (the "**Disclosing Party**") and the Party receiving it (a "**Receiving Party**") shall take appropriate security measures and keep the Confidential Information in such a way as to prevent its unauthorized disclosure. The Parties understand and agree that they are liable for damages arising to an injured party from unauthorized disclosure of the confidential Information.

- 6.2 Save to the extent that the Disclosing Party has given prior written consent, each Party understands that it may only disclose the Confidential Information under the following conditions: -
- 6.2.1 to those of its employees, officers, agents, affiliates, group companies, advisors, consultants, shareholders or board members (“**representatives**”) who need to know the same for the purpose for which it was shared on the basis that such representatives will keep the same confidential on the terms of this Agreement and any breach of any of the terms of this Agreement by any such person or any other person to whom the Confidential Information is disclosed by the Receiving Party will be treated as if the Receiving Party had committed the breach.;
- 6.3 The obligation to restrict disclosure or use of the Confidential Information will not apply to the following: -
- 6.3.1 any information that is generally available in the public domain (provided that this has not happened because of a breach of this Agreement or any other duty of confidentiality between the Parties);
- 6.3.2 any information which the Receiving Party possessed prior to disclosure by the Disclosing Party and where the Receiving Party was at the time of such disclosure-free to disclose that information to others;
- 6.3.3 any information independently originated by the Receiving Party or acquired by the Receiving Party from a third party in circumstances in which the Receiving Party is free to disclose it to others.
- 6.3.4 any information that the Receiving Party is required to disclose, retain, or maintain by law or any regulatory or government authority.

CONSEQUENCES OF DISCLOSURE: -

- 6.4 In the event of an actual, threatened, or intended breach of this Agreement by a Receiving Party, in addition to any other rights and remedies available to the Disclosing Party at law or in equity, the Disclosing Party shall be entitled to preliminary and final injunctions, restraining such breach or threatened breach or intended breach.



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INTELLECTUAL PROPERTY:

- 6.5 All copyright and other intellectual property rights in and relating to the confidential Information and belonging to a Party will remain the property of that Party for the duration and following the termination of this Agreement.

7. FORCE MAJEURE

- 7.1 Should a Party to this Agreement ("**Affected Party**") be prevented from fulfilling any of its obligations in terms of that agreement as a result of an Event of Force Majeure, then:
- 7.1.1 those obligations shall be deemed to have been suspended to the extent that and for so long as the Affected Party is so prevented from fulfilling them and the corresponding obligations of the other Party ("**Unaffected Party**") shall be suspended to the corresponding extent; and
- 7.1.2 the Affected Party shall promptly notify the Unaffected Party in writing of such Event of Force Majeure and such notice shall include an estimation of the approximate period for which the suspension will endure (which estimate shall not be binding on the Affected Party).
- 7.2 The Affected Party shall use all reasonable endeavors to overcome the Event of Force Majeure as soon as practically possible and shall mitigate the effect thereof to the extent possible.
- 7.3 Should the Event of Force Majeure continue for more than 45 (forty-five) business days then the Unaffected Party shall be entitled (but not obliged) to terminate this Agreement by giving seven (7) Days' written notice to the Affected Party to that effect.

8. TERMINATION

- 8.1 Either Party may terminate this Agreement before the expiry of the agreed Term by giving thirty (30) days written notice to the other Party. {see Clause 3.1}
- 8.2 Upon termination of this Agreement for any reason, the Parties agree that Lemonade shall provide up to thirty (30) days of transition support under the following conditions:

- That transition support is limited to read-only data access, transaction settlement finalization, and reasonable technical cooperation and not active operation of services
- That if termination is invoked by the Partner, at convenience, then the Partner will bear the transition support costs. There will be no cost if Lemonade terminates for its own convenience.
- That all outstanding fees must be settled before transition support commences.
- That the transition support period can be extended by mutual written agreement.

9. INDEMNITY & LIABILITY

- 9.1 Both Parties acknowledge that their respective obligations and liabilities with respect to the subject matter of this Agreement are exhaustively defined herein (and in any document referred to herein). Each Party agrees that the express obligations undertaken by the other Party in this Agreement are in lieu of and to the exclusion of any other warranty, condition, term, undertaking or representation of any kind, express or implied, statutory, pursuant to common law or otherwise (including without limitation, implied warranties or conditions of merchantability, of fitness for a particular purpose, of reliability or availability or accuracy) relating to the matters undertaken by the Parties pursuant to or in connection with this Agreement.
- 9.2 The Parties agree that except in cases of fraud, gross negligence, or willful misconduct, the total aggregate liability per claim of either Party arising out of or in connection with this Agreement shall not exceed the total fees paid by the Partner to Lemonade under this Agreement during the preceding twelve (12) months. This limitation shall however not apply to consequential, indirect, and loss-of-profits claims.

10. OTHER PROVISIONS

- 10.1 This Agreement represents the entire agreement between the Parties relating to the subject matter of this Agreement and shall be legally binding and shall supersede and replace all prior oral and written understandings regarding the subject matter. Any amendment, addendum or variation must be in writing and signed by both Parties.



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NOTICES: -

- 10.2 Any official notice to be served on either Party by the other shall be in writing and shall be deemed to have been received by the other Party: (a) when delivered if delivered personally (proof of receipt), sent by express courier service (proof of receipt) or by electronic mail, or (b) within 2 (two) Business Days of posting if sent by registered mail.
- 10.3 If at any time any provision of this Agreement is or becomes invalid or illegal or unenforceable in any respect, that provision shall be deemed severed from this Agreement but the validity, legality, and enforceability of the remaining provisions of this Agreement shall not be affected or impaired thereby.
- 10.4 Nothing in this Agreement shall constitute or be deemed to constitute a partnership or agency between the Parties and neither Party shall have any authority or power to bind the other or to contract in the name of or create a liability against the other in any way or for any purpose.
- 10.5 This Agreement shall be governed by and construed in accordance with the laws of the Republic of Kenya.
- 10.6 All claims and disputes whatsoever arising under this Agreement shall be referred to Arbitration in accordance with the provisions of the Arbitration Act of Kenya (Act No. 4 of 1995) as amended by the Arbitration (Amendment) Act, 2009 (Act No.11 of 2009) or any other Act or Acts for the time being in force in Kenya in relation to arbitration or any statutory modification or re-enactment for the time being in force, by a single arbitrator to be appointed by agreement between the parties or, failing agreement within fourteen (14) days of notification by either Party to the other of the existence of a claim or dispute to be appointed by the Chairman for the time being of the Chartered Institute of Arbitrators-Kenya Branch on the application of either Party.

11. ANNOUNCEMENTS

- 11.1 Neither Party shall make any press release or any other public statement relating to this Agreement or the relationship between the Parties without the prior written consent of the other Party. Once a public statement has been agreed and provided the information in that statement remains accurate, each Party may make other public statements that are consistent with the original statement without prior notice to or consent of any other Party.

- 11.2 Notwithstanding the foregoing, a Party may make any public statements required in order to comply with applicable law.

12. DATA OWNERSHIP AND USAGE

- 12.1 All subscriber data, transaction records, and behavioural data relating to Partner users processed through the Lemonade payment gateway shall remain the exclusive property of the Partner.
- 12.2 Lemonade shall process such data solely for the purpose of providing services under this Agreement and shall not use such data for any other purpose without the prior written consent of the Partner or as provided in this Agreement
- 12.3 Lemonade shall have the right to retain and use aggregated, anonymized, or de-identified data for internal analytics, fraud prevention and regulatory reporting.
- 12.4 Lemonade shall retain its own platform and system data even where it relates to the Partners transactions
- 12.5 Parties agree that data will be retained for purposes of compliance to legal and regulatory requests and the same can be submitted regardless of ownership.
- 12.6 Any sharing, processing, or disclosure of user data shall be conducted strictly in accordance with applicable data protection laws and with the explicit consent of the relevant users where required.
- 12.7 Lemonade shall provide the Partner with API access to subscriber transaction data processed through the Lemonade platform. Such request will be under the following conditions:
- Access shall solely relate to the Partners own subscribers and transaction.
 - Lemonade shall be responsible for security and access protocol for such API access requests and the Partner agrees to abide by it.
 - Lemonade shall not be responsible for the Partner's downstream use or misuse of data accessed via the API.
 - Lemonade shall have the right to suspend API access in the event of a security incident or suspected breach.
- 12.8 Upon request, Lemonade shall also provide access to subscription payment history and related transaction records associated with the Partner's user. Any cost associated with such a request shall be borne by the Partner.





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IN WITNESS THEREOF, the Parties have each caused the Agreement to be signed and delivered by Its duly authorized officer or representative.

Signed for and on behalf of Signed for and on behalf of

Lemonade Investments Ltd Chief Executive Officer Name: MARK KIHARA MACHIRI Signature: _____ Date: _____	_____ Chief Executive Officer/ Director Name: _____ Signature: _____ Date: _____
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ANNEXURE ONE

LIST OF TERRITORIES

TERRITORY Enabled Service
KENYA

ANNEXURE TWO

BACK OFFICE TO BACK-OFFICE SERVICE LEVEL AGREEMENT

INTRODUCTION

This annexure outlines the Service Level standards to be provided by **Lemonade** to **Partner** regarding the Back-Office support under the terms of the service level agreement agreed and signed by the two parties on the Annual license agreement.

DEFINITIONS

“Level 1” shall mean the queries initiated by Recipients through various interaction points (call center, service center etc.).

“Level 2” shall mean the queries escalated from level 1 to a specialist team (e.g. Technical team, back office team).

“Level 3” shall mean the queries escalated from level 2 due to the complexity and/or because the resolution will require a system change/update.

SERVICE LEVELS

Lemonade Customer Support

Lemonade is responsible for providing Level One (1), Level Two (2), and Level Three (3) support in the Territory as per its existing customer support program.

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For this agreement, **Lemonade** shall provide Back-Office to Back-Office Level Two (2) support to the **Partner** in the Territories affiliated with the Services in accordance with this Service Level Agreement.



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Lemonade shall provide support through its Standard Support program, accessible at:

Lemonade Payments Support Email	support@mylemonade.io
Lemonade Support/ Payments Portal	https://dashboard.mylemonade.io/ Credentials to be shared

Faults Severity Classification

Fault Severity	Description
Critical	The service is inaccessible and/ or unable to operate
Major	The Service is operational, but a major function is not operating, or the Service has a fault that significantly affects its normal operation.
Minor	The service has a fault that does not significantly affect its normal operation

Lemonade Response Times

Description	Fault Severance and Response Time Frames		Support Delivery
Assistance by Email	Critical	10 Minutes	Remotely
	Major	30 Minutes	
	Minor	60 Minutes	
Remote Online Assistance	Critical	10 Minutes	Remotely
	Major	30 Minutes	
	Minor	60 Minutes	



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Lemonade Escalation Procedure

Level	Name	Role	Email Address	Mobile Number
1	Support Desk	Operations & Monitoring	support@mylemonade.io	+254711894422
2	Finance Desk	Reconciliation & Liquidity management	finance@mylemonade.io	+254722635294
3	Mark Kihara	Overall Relationship Manager	mark@mylemonade.io	+254722635294

Partner Escalation Procedures

Level	Name	Role	Email Address	Mobile Number
1	Support Desk	Technical Operations & Support		
2	Operations	Head of Operations		
3	Engineering	Head of Engineering		

Monitoring

Lemonade will make use of system monitoring tools to ensure proactive management of all systems and applications continuously, allowing it to:

1. Monitor and report on the availability of services
2. Determine the causes of a problem
3. Identify and isolate performance bottlenecks and perform capacity planning

Other Responsibilities

Lemonade will notify the **Partner** of any events that may induce downtime, ensuring to provide downtime notification in advance of scheduled events that may impact uptime.

ANNEXURE THREE

OPERATING PROCEDURES

1. INTRODUCTION

- 1.1 **Lemonade** and the **Partner** have agreed that the **Lemonade** Platform shall connect to the **Partner** to enable the **Partner** to receive remittances through the **Lemonade** Platform and the Parties have further agreed to cooperate in order to launch the Service in the Territories on the terms and conditions set out in this annexure.

2. THE SERVICE

- 2.1 **Lemonade** shall be solely responsible for the installation and set-up of its Platform and for providing the enabling technology for the Service.
- 2.2 Lemonade shall enable the **Partner** to utilize all the payment gateway services as provided in the commercial terms of this agreement.
- 2.2.1 Lemonade shall include recurring subscription billing capability, including but not limited to the following:
- Scheduled recurring debits
 - Secure tokenization of payment credentials. Lemonade shall avail this service only after the Partner has undertaken integration and testing of the tokenization and retry logic
 - Automated retry logic for failed subscription transactions
- 2.2.2 Lemonade shall avail this service only after the Partner has undertaken integration and testing of the tokenization and retry logic
- 2.2.3 Lemonade shall not be responsible for losses incurred from failed retries caused by insufficient subscriber funds or incorrect credentials provided by the Partner.

2.3 TRANSACTION PROCESSING RULES

- 2.3.1 To carry out a transaction through the Lemonade payment gateway platform, the **Partner** Platform shall send a Payment Instruction to the **Lemonade** Payment Gateway Platform.
- 2.3.2 **Lemonade** shall execute the transaction Instructions as provided by **Partner**
- 2.3.3 **Lemonade** shall have NO financial liability to the **Partner** if they provide an incorrect MSISDN (Phone Number/ Bank Account Number) in the Payment Instructions.
- 2.3.4 **Lemonade** shall notify the **Partner** immediately if for any reason **Lemonade** cannot execute any transaction instruction by the **Partner**. **Lemonade** will use its best efforts to provide the **Partner** with information about any errors in completing a Transaction and to correct any errors. If service is credited to or debited from the client E-Value Account other than the one associated with the MSISDN of the Subscriber as it appears in the **Lemonade** Platform, or if funds are otherwise misdirected, including **Lemonade** charging the wrong account for a Transaction, **Lemonade** shall promptly inform **Partner** of the error, providing details of the error, use its best endeavors to recover the misdirected funds, and immediately credit or debit an equivalent amount to the proper beneficiary Account. **Lemonade** shall be financially liable if a transaction is credited to a beneficiary different from what is contained in the Payment Instruction. **Partner** authorizes **Lemonade** in such an event to make a refund payment to the beneficiary and to deduct the corresponding amount from a future settlement.

2.4 SETTLEMENT & REPORTING

- 2.4.1 **Lemonade** shall open an E-Value Settlement Account for **Partner** in the name of _____ on its Platform for the Service.
- 2.4.2 In the event for subscription payment collections, the Partner shall not be required to pre-fund the Settlement Account. Funds collected from subscribers through the Lemonade payment gateway shall be settled to the Partner on a T+1 or T+2 basis following successful transaction processing and reconciliation. This reconciliation method will be reviewed periodically or after every 3 months following the system's going-live.

- 2.4.2.1 Apart from what has been set out under clause 2.4.2, the Partner shall pre-fund the Settlement Account in Local Currency by depositing the aggregate of Principal amounts to the Designated Bank Account.
- 2.4.3 The **Partner** shall notify **Lemonade** each time it transfers funds to the Designated Bank Account. Such notification should include proof of funds transfer (e.g. SWIFT confirmation/).
- 2.4.4 **Lemonade** shall arrange for the funds to be credited immediately from the day it receives the notification from the **Partner**
- 2.4.5 Each Business Day, by 10:00 am, **Lemonade** shall provide the **Partner** with the DTR relating to the previous day. This can be accessed through the business portal provided to the **Partner**.
- 2.4.6 If no discrepancy is identified in the Reconciliation Report, the report is fully closed and the Net Settlement Payment for the day is confirmed.
- 2.4.7 In case a discrepancy has been found in the Reconciliation Report any Party can open a Reconciliation Issue and the Parties shall collaborate to investigate and resolve the discrepancy.
- 2.4.8 The Reconciliation Report shall be considered partially closed with the unresolved transactions NOT forming part of the report.
- 2.4.9 The investigation shall continue until the Reconciliation Issue is resolved or closed by the Parties by mutual agreement.
- 2.4.10 Either Party can raise an objection regarding a transaction to thirty (30) calendar days after the transaction has taken place (e.g. a transaction that occurred on January 1st can still be objected to up to February 1st). In such cases, the Parties shall collaborate to investigate and resolve the objection and make any required adjustments.
- 2.4.11 Neither Party shall be liable to the other for claims made after the thirty (30) calendar days' period have lapsed.
- 2.4.12 At any time and **upon the issuance of a Seven (7) day written notice**, Lemonade, can request the **Partner** to repay **Lemonade** any balance of the

Settlement Account in full. This applies to invoicing only. **The demand will be accompanied by written reason.**

2.5 SYSTEM UPTIME

- 2.5.1 Lemonade shall maintain a minimum system uptime of 99% per calendar month, excluding scheduled maintenance communicated in advance to the Partner.
- 2.5.2 In the event that uptime falls below this threshold, both Parties shall review service performance and agree on corrective measures to ensure continued service reliability.
- 2.5.3 In the event the uptime threshold can not be met, Lemonade shall compensate the Partner with service credit.

Services

Kenya Services

NOTE:

The commissions stated above are open for review every 3 months

3.2 Lemonade agrees that it will not charge any additional fees or commissions neither to **the Partner** nor to Recipients to credit the Send Amount onto the **Client** Money Account of Recipients, over and above the Commission agreed herein

1. **Lemonade** will submit a Successful Transactions report with the Commissions of the previous calendar month on the Partner portal in real-time. The **Partner** will review the Successful Transactions report within (ten)10 business days following the end of the calendar month. In the case of no dispute, the **Partner** can always cash out their commission at any point

2. For all Successful Transactions effected through the Service, the corresponding sum of Commissions and/or charges shall be settled by the respective party on a real-time basis and reconciliations will be done via process one (1) above

3. Designated Bank Account

Bank Name	Equity Bank Kenya
Branch Address	Westlands
Account Name	Lemonade Investments Limited - FLOAT Account
Account Number	0550286295746
Account Currency	KES